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MGT101 Financial Accounting

Final Term Examination – Spring 2005

Time Allowed: 150 Minutes

INSTRUCTIONS:

Please read the following instructions carefully before attempting any question:

- The duration of this examination is 150 minutes.
- All questions are compulsory.
- This exam consists of 5 Multiple Choice Questions (MCQ's) carrying 2 marks each, 6 Short questions carrying 5 marks each and 2 Descriptive questions carrying 10 marks.
- You are required to show all the working of short questions as well as Descriptive questions.
- This examination is closed book, closed notes, closed neighbors.
- Do not ask any questions about the contents of this examination from anyone.
- The use of calculator is allowed.
- You may wish to pace yourself with your own watch, but the Supervisor will be the official timekeeper of the test.
- Failure to comply with the Supervisor's directions will result in your test being cancelled. Please comply with supervisor's directions to avoid any unpleasant event.

Total Marks: 60 **Total Questions: 13**

Question No. 1 **Marks : 10**

From the following Trial Balance of a merchant, Prepare a Trading and profit & Loss account and a Balance Sheet as on 31st December, 2004.

Debit	Rs.	Credit	Rs.
Machinery	12,000	Creditors	12,408
Debtors	10,690	Discounts	627
Bank	3,151	Sales	11,439
Opening Stock	2,920	Capital	18,390
Purchases	9,092		
Drawing	250		
Carriage	600		
Wages	1,910		
Salaries	1,300		
Insurance	119		
Postal expenses	132		
Bad debts	700		
	42,864		42,864

Adjustments:

1. Closing Stock on 31st December, 2004 was valued at Rs. 7,928.
2. Outstanding wages Rs. 300.
3. Prepaid Insurance Rs. 50.
4. Create bad debts reserve @ 10% on sundry debtors.
5. Depreciate Machinery by 5%.

Question No. 2 **Marks : 05**

What is the difference between cash accounting and Accrual accounting?

Question No. 3 **Marks : 02**

Which is the best definition of Balance sheet?

- An account proving the Book balances
- A record of closing entries
- A listing of balances
- A statement of Assets

Question No. 4 **Marks : 05**

What is meant by Subsidiary ledgers?

Question No. 5 **Marks : 05**

What is meant by Prepaid expenses?

Question No. 6 **Marks : 02**

Depreciation is:

- The amount spent to buy a fixed asset
- The salvage value of a fixed asset
- The part of the cost of the fixed asset consumed during its period of use by the firm
- The amount of money spent on replacing asset

Question No. 7 **Marks : 05**

What are the major components of a cash flow statement?

Question No. 8 **Marks : 10**

From the particulars given below, find out the balance, by means of a statement that would appear in the Pass Book as on 30th June, 2005.

1. **Bank overdraft as per Pass book (Dr.) Rs. 1,660.**
2. **Amount deposited directly into bank by a debtor Rs. 200 in June but not recorded in Cash Book.**
3. **Interest on Overdraft Rs. 40 and the Bank charges Rs. 20 are debited in the Pass Book only.**
4. **Cheque deposited in June but credited by the bank in the month of July, 2005 Rs. 800.**
5. **Cheque drawn in June but presented in the month of August, 2005 Rs. 20,000, Rs. 1,200 and Rs. 400.**

Question No. 9 **Marks : 05**

Differentiate between Return Inwards and Return Outwards?

Question No. 10 **Marks : 02**

Which of the following is not a Cash flow in Cash flow statement?

- A depreciation charge
- Dividend paid

- Proceeds on Sales of Fixed Assets
- Tax paid

Question No. 11 **Marks : 05**

What is meant by Short term Assets or Current Assets?

Question No. 12 **Marks : 02**

Gross Profit is:

- Excess of sales over Cost of good sold
- Sales less Purchases
- Cost of good sold plus Opening Stock
- Net profit less expenses of the period

Question No. 13 **Marks : 02**

Which of the following is an intangible asset?

- Patents
- Copyrights
- Trade marks
- All of the given options